

EDUARDO DÁVILA

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Department of Economics
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Academic Positions

YALE UNIVERSITY, 2018-

*Assistant Professor of Economics, Economics Department and Cowles Foundation, 2019-
Assistant Professor of Finance, School of Management, Finance Department (Secondary Appointment), 2019-
Visiting Assistant Professor of Economics, 2018-2019*

NATIONAL BUREAU OF ECONOMIC RESEARCH, 2017-

Faculty Research Fellow (AP, EFG)

NEW YORK UNIVERSITY, 2014-19

Assistant Professor of Finance, Stern School of Business, Finance Department

Education

HARVARD UNIVERSITY, 2014

*Ph.D./M.A. in Economics
Thesis: Essays on Normative Macro-Finance*

UNIVERSITAT POMPEU FABRA, 2008

B.A. in Economics, Second Cycle

UNIVERSIDAD DE LAS PALMAS DE GRAN CANARIA, 2006

B.A. in Economics, First Cycle

Research Fields

Primary: Financial Economics, Macroeconomics

Secondary: Public Economics, International Finance

Publications

1. Identifying Price Informativeness, (with Cecilia Parlatore)
Review of Financial Studies, Forthcoming, October 2025.
2. Welfare Assessments with Heterogeneous Individuals, 2025 (with Andreas Schaab)
Journal of Political Economy, Volume 133, Issue 9, September 2025, Pages 2918–2961.
3. The Value of Arbitrage (with Daniel Graves and Cecilia Parlatore)
Journal of Political Economy, Volume 132, Issue 6, June 2024, Pages 1947–1993.
4. Optimal Corporate Taxation under Financial Frictions (with Benjamin Hébert)
Review of Economic Studies, Volume 90, Issue 4, July 2023, Pages 1893–1933.
5. Prudential Policy with Distorted Beliefs (with Ansgar Walther)
American Economic Review, Volume 113, Issue 7, July 2023, Pages 1967–2006.
Runner-up 2021 Ieke van den Burg Prize for Research on Systemic Risk
6. Optimal Deposit Insurance (with Itay Goldstein)
Journal of Political Economy, Volume 131, Issue 7, July 2023, Pages 1676–1730.
7. Volatility and Informativeness (with Cecilia Parlatore)
Journal of Financial Economics, Volume 147, Issue 3, March 2023, Pages 550–572.

8. Optimal Financial Transaction Taxes
Journal of Finance, Volume 78, Issue 1, February 2023, Pages 5-61. Lead article.
9. Trading Costs and Informational Efficiency (with Cecilia Parlatore)
Journal of Finance, Volume 76, Issue 3, June 2021, Pages 1471–1539.
10. Does Size Matter? Bailouts with Large and Small Banks (with Ansgar Walther)
Journal of Financial Economics, Volume 136, Issue 1, April 2020, Pages 1–22. Lead article.
Runner-up 2018 Ieke van den Burg Prize for Research on Systemic Risk
11. Using Elasticities to Derive Optimal Bankruptcy Exemptions
Review of Economic Studies, Volume 87, Issue 2, March 2020, Pages 870–913.
12. House Price Beliefs and Leverage Choice (with Michael Bailey, Johannes Stroebel, and Theresa Kuchler)
Review of Economic Studies, Volume 86, Issue 6, November 2019, Pages 2403–2452.
13. Pecuniary Externalities in Economies with Financial Frictions (with Anton Korinek)
Review of Economic Studies, Volume 85, Issue 1, January 2018, Pages 352–395.

Under Review

1. Welfare Accounting, 2025 (with Andreas Schaab)
Revise & Resubmit, *Review of Economic Studies*
2. Optimal Monetary Policy with Heterogeneous Individuals: Discretion, Commitment, and Timeless Policy, 2023 (with Andreas Schaab)
Revise & Resubmit, *American Economic Review*
3. Corrective Regulation with Imperfect Instruments, 2025 (with Ansgar Walther)
Runner-up 2022 Ieke van den Burg Prize for Research on Systemic Risk

Working Papers

1. Probability Pricing, 2025 (with Cecilia Parlatore and Ansgar Walther)
2. Intergenerational Welfare Assessments, 2025 (with Sergi Barcons and Andreas Schaab)
3. Time Inconsistency with Heterogeneous Agents, 2025 (with Andreas Schaab)
4. A Dynamic Theory of Optimal Tariffs. 2025 (with Andrés Rodríguez-Clare, Andreas Schaab, and Stacy Yingqi Tan)
5. Incompleteness Shocks, 2026 (with Priit Jeenas and Thomas Philippon)
6. Optimal Joint Bond Design, 2024 (with Stelios Fourakis and Charles-Henri Weymuller)

Work in Progress

1. Accumulation and Welfare, 2025 (with Abdelrahman Hassanein and Andreas Schaab)
2. Corrective Regulation with Multiple Regulators, 2025 (with Ansgar Walther)
3. Noise Trading and Welfare, 2025 (with Cecilia Parlatore and Ansgar Walther)

Inactive Working Papers

1. A Non-Envelope Theorem with Linearly Homogeneous Constraints, 2025 (with Andreas Schaab)
2. Dissecting Fire Sales Externalities, 2014 (subsumed in Pecuniary Externalities in Economies with Financial Frictions)
3. Myopic Portfolio Choice with Higher Cumulants, 2011

Grants, Honors, and Awards

XXIII Premio Fundación Banco Sabadell a la Investigación Económica, 2024 (awarded to a Spanish economist under 40)

Arthur Greer Memorial Prize for Outstanding Scholarly Publication or Research, 2023-2024

Alfred P. Sloan Research Fellow in Economics, 2024-2026

NSF CAREER Award: “Normative Macro-Finance”, 2023-28

European Central Bank Lamfalussy Fellowship, 2021

Excellence in Refereeing Award, American Economic Journal: Macro, 2021, 2022

Excellence in Refereeing Award, American Economic Review, 2019, 2021, 2022

Excellence in Refereeing Award, Review of Economic Studies, 2017, 2019, 2020

Foundation Bank of France Research Grant, 2016

NYU Stern CGEB Research Grant, 2015-2016

Top Finance Graduate Award, 2014

Harvard Dissertation Completion Fellowship, 2012

Harvard International Research Grant, 2012

AFA Student Travel Grant, 2012

Foundation Rafael del Pino Graduate Fellowship, 2010-12

Invited participant at 4th Lindau Meeting of Nobel Laureates in Economics, 2011

Bank of Spain Graduate Fellowship (declined), 2010

“la Caixa” Graduate Fellowship, 2008-10

National Undergraduate Prize in Economics, 2008 (awarded annually to the best undergraduate economics student in Spain)

Keynote Speaker:

Barcelona GSE Summer Forum 2025: A Dynamic Economic and Monetary Union

Seminar and Conference Presentations (it may include scheduled)

2026	ASSA Meetings, Princeton, Yale, Rice, UC3M, SFS Cavalcade, Philadelphia Fed, St. Louis Fed, Dublin Econometric Society Meetings
2025	Johns Hopkins, UCLA Anderson, MIT Sloan, Chicago Booth, Stanford GSB, Bank of Italy, Bank of Spain, EIEF, Cowles Yale Conference in General Equilibrium and its Applications, Minneapolis Fed, Boston College, Yale, Harvard, Northwestern, Duke Fuqua, Finance Theory Group UT Austin Meeting, Cowles Lunch, NBER Methods and Applications for DSGE Models, CREi
2024	NBER EFG Winter Meeting, ECB, Frankfurt School, Boston College, Chicago Booth, Wharton, SBP, SED Barcelona, NBER SI Capital Markets and the Economy, Iowa State, Rochester Finance, McGill Desautels
2023	ASSA Meetings, Richmond Fed, Arizona State University, Brown, Boston University, Tilburg University, Erasmus University Rotterdam, St. Louis Fed, Vienna Graduate School of Finance, Stanford SITE, UCLA, University of Montreal, University of Wisconsin Finance, FISF
2022	ASSA Meetings, MIT, Hewlett Conference on Imperfect Regulation, University of Wisconsin IO/Finance Reading Group, Chicago Fed, Fed Board, UChicago Conference on Data and Welfare, China International Conference in Finance, NBER SI Monetary Economics, NBER SI Micro Data and Macro Models, Minnesota Workshop in Macroeconomic Theory, EFA, UPenn, Harvard, Cowles Yale Conference in General Equilibrium and its Applications, NYU, Normative Economics and Economic Policy Webinar, LSE Economics, Philadelphia Fed, Yale

- 2021 ASSA Meetings, Yale, Minneapolis Fed, LSE Finance, Tinbergen Institute, Midwest Finance Association Annual Conference, Warwick, Bristol, Richmond Fed, Oxford Said, SED, Oxford Macro-Finance Conference, Pizzanomics, OxFIT, NBER SI International Asset Pricing, Finance Theory Webinar, Chicago Advancing Macro Finance Workshop, University of Bonn
- 2020 ASSA Meetings, Yale, Stanford Economics, Chicago Household Finance Conference, Virtual Finance Theory Seminar, Duke Economics, Rutgers Economics, London Business School Finance, Northwestern Economics, Virtual Finance Theory Seminar, Yale Pre-Doc Seminar
- 2019 ASSA Meetings, Yale, University of Virginia Economics, Sciences Po Economics, Midwest Finance Association Annual Conference, Adam Smith Asset Pricing Conference, Diamond Dybvig@36 Conference, Stockholm Finance, University of Washington Foster, FIRS, CEPR Public Economics, Fed Board, Columbia Economics, University of Wisconsin Macro Conference, UVa Symposium on Financial Economics
- 2018 ASSA Meetings, Yale, Wharton, Berkeley Haas Finance, Maryland / Fed Board Conference on Short Term Funding Markets, NYU, MIT Sloan Finance, Kellogg Finance, IMF, FDIC, SED Mexico, NBER SI Impulse and Propagation Mechanisms, NBER SI Corporate Finance, NBER SI Real Estate, University of Wisconsin Junior Finance Conference, NBER Asset Pricing, Chicago Booth Asset Pricing Conference, Bank of Sweden
- 2017 ASSA Meetings, Duke Fuqua Finance, NYU, Drexel Economics, Macro Finance Society Spring Meetings, NBER SI Behavioral Macro, NBER SI Capital Markets and the Economy, CEPR Housing, Housing Credit and the Macroeconomy Conference, MIT Economics, Bank of France, Minneapolis Fed, USC Lusk Annual Research Symposium, CREi, Chicago Booth, UT Austin Finance
- 2016 ASSA Meetings, University of Virginia Economics, Bank of Portugal, Stanford Junior Conference in Financial Regulation, NBER Public Economics, FIRS, Barcelona GSE Summer Forum International Finance and Macro, FTG Summer Conference, SED Toulouse, NBER SI Corporate Finance, Columbia Economics, NYU, New York Fed
- 2015 Johns Hopkins Economics, Stanford GSB Finance, NYU, Cowles Yale Conference in General Equilibrium and its Applications, Barcelona GSE Summer Forum, NBER SI Aggregate Implications of Consumption Behavior, Gerzensee Asset Pricing Conference, Econometric Society World Congress, BFI Advances in Price Theory Conference
- 2014 UC Berkeley Economics, Princeton, Chicago Booth Finance, LSE Economics, LSE Finance, Brown, NYU Stern, New York Fed, Federal Reserve Board, SED Toronto, NBER SI Corporate Finance, Copenhagen Business School, University of Geneva Securities' Markets Regulation Conference
- 2013 Chicago Fed Rookie Conference

Short Visits:

Bank of Portugal (2015), Philadelphia Fed (2019, 2022, 2026), Richmond Fed (2021, 2023), Becker-Friedman Institute (2023), MIT (2023/24), ECB (2024), Princeton (2024), Minneapolis Fed (2017, 2025)

Professional Activities (it may include scheduled)

Referee:

American Economic Journal: Macro, American Economic Journal: Micro, American Economic Review, American Economic Review: Insights, Asian Development Review, Econometrica, Economic Journal, Economic Theory, Economica, Economics of Transition, European Central Bank, European Research Council, International Economic Review, Journal of Banking and Finance, Journal of Economic Literature, Journal of Economic Theory, Journal of the European Economic Association, Journal of Finance, Journal of Financial Economics, Journal of Financial Intermediation, Journal of International Economics, Journal of Legal Studies, Journal of Monetary Economics, Journal of Political Economy, Journal of Political Economy: Macro, Journal of Political Economy: Micro, Journal of Public Economics, Management Science, National Science Foundation, Quarterly Journal of Economics, Review of Economic Dynamics, Review of Economic Studies, Review of Economics and Statistics, Review of Finance, Review of Financial Studies, Theoretical Economics

Associate Editor:

Discussant:

1. 2026 NBER IFM Spring Meeting, Efficiency Costs of Incomplete Markets, by David Baquee and Ariel Burstein
2. 2026 NBER EFG Winter Meeting, Aggregate Productivity with Heterogeneous Agents, by David Baquee and Ariel Burstein
3. 2026 Utah Winter Finance Conference, Mental Models and Financial Forecasts, by Francesca Bastianello, Paul Decaire, and Marius Guenzel
4. 2026 AFA Meetings, Household Portfolio and Deposit Insurance: Implications for the Supply of Safe Asset, by Nishant Vats, Pulak Ghosh, and Nicola Limodios
5. 2025 Philadelphia Junior Macro Workshop, Optimal Dynamic Spatial Policy, by Eric Donald, Masao Fukui, and Yuhei Miyauchi
6. 2025 NBER Financial Market Frictions and Systemic Risks Meeting, The Economics of Market-Based Deposit Insurance, by Edward Kim, Shohini Kundu, and Amiyatosh Purnanandam
7. 2024 Minneapolis Fed Conference on Macroeconomic Policy Perspectives, Bankruptcy Exemption of Repo Markets: Too Much Today for Too Little Tomorrow?, by Viral Acharya, V. Ravi Anshuman, and S. Viswanathan
8. 2024 AEA Meetings, Exchange Controls as a Fiscal Instrument, by Stephanie Schmitt-Grohé and Martín Uribe
9. 2023 Douglas Gale's Festschrift: Whatever It Takes? Market Maker of Last Resort and its Fragility, by Dong Beom Choi and Tanju Yorulmazer
10. 2023 Wharton Conference on Liquidity and Financial Fragility: Bailing out (Firms') Uninsured Deposits: A Quantitative Analysis, by Aaron Pancost and Roberto Robatto
11. 2023 4th TWID International Finance Conference: The Macroeconomics of Trade Credit, by Luigi Bocola and Gideon Bornstein
12. 2023 China International Conference in Finance (CICF): Redistributive Inflation and Monetary Policy, by Yucheng Yang
13. 2023 Third Conference on Non-Bank Financial Sector and Financial Stability: Falling Interest Rates and Credit Reallocation: Lessons from General Equilibrium, by Vladimir Asriyan, Luc Laeven, Alberto Martin, Alejandro Van der Gote, and Victoria Vanasco
14. 2023 SFS Cavalcade: Valuing Financial Data, by Maryam Farboodi, Dhruv Singal, Laura Veldkamp, and Venky Venkataswaran
15. 2023 OFR Rising Scholars Conference: Stablecoin Runs and the Centralization of Arbitrage, by Yiming Ma, Yao Zeng, and Anthony Lee Zhang
16. 2023 AFA Meetings: Green Capital Requirements, by Martin Oehmke and Marcus Opp
17. 2022 NBER Corporate Finance Fall Meeting: Socially Responsible Divestment, by Alex Edmans, Doron Levit, and Jan Schneemeier
18. 2022 Bank of Canada Workshop on Monetary Policy Research: Bank Runs, Fragility, and Credit Easing, by Manuel Amador and Javier Bianchi
19. 2022 Econometric Society Meetings: (In)efficiency in Information Acquisition and Aggregation through Prices, by Alessandro Pavan, Savitar Sundaresan, and Xavier Vives
20. 2021 IWH-FIN-FIRE Workshop on "Challenges to Financial Stability": The Political Economy of Prudential Regulation, by Magdalena Rola-Janicka
21. 2021 China International Conference in Finance (CICF): Delayed Crises and Slow Recoveries, by Xuewen Liu, Pengfei Wang, and Zhongchao Yang
22. 2021 JHU Carey Finance Conference: Is There Too Much Benchmarking in Asset Management?, by Anil Kashyap, Natalia Kovrijnykh, Jian Li, and Anna Pavlova
23. 2021 SFS Cavalcade: Renegotiation in Debt Chains, by Vincent Glode and Christian Opp
24. 2021 Adam Smith Workshop: Can the Cure Kill the Patient? Corporate Credit Interventions and Debt Overhang, by Nicolas Crouzet and Fabrice Tourre
25. 2021 MFA Meetings: Alpha and Beta Information, by Shiyang Huang, Jan Schneemeier, Avandhar Subrahmanyam, and Liyan Yang
26. 2021 AEA Meetings: Dissecting Mechanisms of Financial Crises: Intermediation and Sentiment, by Arvind Krishnamurthy and Wenhao Li
27. 2020 Cambridge Corporate Finance Theory Symposium: Capital Structure and Hedging Demand with Incomplete Markets, by Alberto Bisin, Gian Luca Clementi, and Piero Gottardi
28. 2020 SFS Cavalcade: Market Feedback: Who Learns What?, by Itay Goldstein, Jan Schneemeier, and Liyan Yang
29. 2020 AEA Meetings: Bank Competition, Lending Technologies, and Credit Availability: Evidence Using Antitrust Regulatory Friction, by Allen Berger and Dasol Kim
30. 2020 AFA Meetings: Liquidity versus Information Efficiency, by Sergei Glebin
31. 2019 NYU Stern Five-Star Conference: A Dynamic Theory of Multiple Borrowing, by Daniel Green and Ernest Liu
32. 2019 Shadow Open Market Committee: The Financial Crisis Bailouts: What They Cost Taxpayers and Who Reaped the Direct Benefits, by Deborah Lucas
33. 2019 Bank of Spain Second Conference on Financial Stability: Cournot Fire Sales, by Thomas Eisenbach and Greg Phelan
34. 2019 FIRS Meetings: Variation Margins, Fire Sales, and Information-Constrained Optimality, by Bruno Biais, Florian Heider, and Marie Hoerova
35. 2019 AFA Meetings: Self-Fulfilling Asset Prices, by Alexander Zentefis
36. 2018 Wharton Conference on Liquidity and Financial Fragility: How I Learned to Stop Worrying and Love Fire Sales, by Pablo Kurlat
37. 2018 SFS Cavalcade: Speed Acquisition: by Shiyang Huang and Bart Zhou Yueshen

38. 2018 AEA Meetings: Risk-Taking Dynamics and Financial Stability, by Anton Korinek and Martin Nowak
39. 2018 Econometric Society Meetings: The Misallocation of Finance, by Toni Whited and Jake Zhao
40. 2017 ESSIM: Divergent Risk-Attitudes and Endogenous Collateral Constraints, by Giuliano Curatola and Ester Faia
41. 2017 AEA Meetings: Moral Hazard Misconceptions: the Case of the Greenspan Put, by Gideon Bornstein and Guido Lorenzoni
42. 2016 Yale Junior Finance Conference: The Output Costs of Sovereign Default, by Ben Hébert and Jesse Schreger
43. 2016 NBER International Finance Spring Meeting: Multiple Equilibria in Open Economy Models with Collateral Constraints: Overborrowing Revisited, by Stephanie Schmitt-Grohé and Martín Uribe
44. 2015 NBER Mathematical Economics Conference: Monetary Policy and the Redistribution Channel, by Adrien Auclert
45. 2015 Wharton Conference on Liquidity and Financial Fragility: Coordinating Business Cycles, by Edouard Schaal and Mathieu Taschereau-Dumouchel
46. 2015 Gerzensee Asset Pricing Conference: Advertising Arbitrage, by Sergei Kobasyuk and Marco Pagano
47. 2015 Barcelona GSE Summer Forum Macro Finance: Can a Financial Transaction Tax Prevent Stock Price Booms?, by Klaus Adam, Johannes Beutel, Albert Marcet and Sebastian Merkel
48. 2015 Columbia Safe Assets Conference: A Model of the Reserve Asset, by Zhiguo He, Arvind Krishnamurthy and Konstantin Milbradt
49. 2014 NBER International Finance Fall Meeting: International Spillovers and Guidelines for Policy Cooperation, by Anton Korinek
50. 2014 Barcelona GSE Summer Forum Macro Finance: A Theory of Power Law Distributions for the Returns to Capital and of the Credit Spread Puzzle, by François Geerolf

Program Committee:

WFA: 2016-2025; MFA: 2016-2019, EFA: 2019-2025; FIRS: 2020-2025; SFS Cavalcade: 2020-2025; Wharton Conference on Liquidity and Financial Fragility: 2019; Cambridge Corporate Finance Theory Symposium: 2021; OFR Rising Scholars Conference: 2023-2025; SED: 2024; Bank of Spain Fifth Conference on Financial Stability: 2025

Conference Organizer:

Finance Theory Group: Fall 2021; Macro-Finance Society: Spring 2022; Hewlett Seminars: Spring 2022, Cowles Conference on General Equilibrium and its Applications: Spring 2023, Spring 2024; Cowles Macro Summer Conference: Summer 2023; Rethinking Optimal Deposit Insurance Conference: Spring 2024

Seminar Organizer:

NYU Stern Finance Seminar: Fall 2016, Spring 2017; Yale Macro Seminar: Fall 2019, 2020, 2022; Yale Finance Lunch: 2019-onwards, Yale Macro Lunch: Spring 2025

University Service:

Junior Recruiting Committee: 2019/20, 2020/21, 2022/23

Fulbright Grants Committee: 2022/23, 2024/2025

Teaching

Finance Theory Group: Summer School 2025

At Yale:

Financial Economics, undergraduate (2020/21, 2021/22, 2022/23)

Mathematical Economics: General Equilibrium Theory, undergraduate (2019/20)

Financial Theory, undergraduate (2018/19)

General Economic Theory: Microeconomics (General Equilibrium and Welfare Economics), PhD (2018/19, 2019/20, 2024/2025)

Mathematical Economics II: General Equilibrium Foundations of Finance and Macroeconomics, PhD (2018/19, 2019/20, 2021/22, 2022/23, 2024/2025)

At NYU Stern:

Foundations of Finance, undergraduate and masters (2014/15, 2015/16, 2016/17, and 2017/18)

At Harvard:

Asset Pricing, PhD, TA for John Campbell (2010/2011)

Corporate Finance, PhD, TA for Robin Greenwood and David Scharfstein (2012/13)

Advising (includes ongoing)

Graduate (letter writer; chair or co-chair indicated by *):

- 2021: Yangjue Han (MSCI)
- 2022: Ahyun Panjwani (Fed Board)
- 2023: Oliver Pfäuti (UT Austin)
- 2023: Antzelos Kyriazis (Franklin Templeton)*
- 2025: Francesco Beraldi (Duke Fuqua)*
- 2025: Daniel Graves (Harvard)*
- 2026: Chenping Yang (Ohio State)
- 2027: Matthew Famiglietti (in progress)
- 2028: Kentaro Sakata (in progress)

Undergraduate (letter writer): Luke Min (PhD: Wharton), Jingyi Cui (PhD: Yale), Lauren Harris (PhD: Stanford), Vod Vilfort (PhD: MIT), Alex Kane (PhD: BU), Flint O'Neil (PhD: Stanford), Brian Zhu (PhD: Columbia), Reyanna James (Fulbright), Bruno Moscarini (PhD: MIT), Jack Kelly (PhD: MIT), Matt Schwartz (PhD: Princeton), Abdelrahman Hassanein (PhD: UC Berkeley)

Undergraduate (senior thesis advisor): Luke Min, Shawn Luciani, Alexander Kirov, Arrunava Moondra, Bruno Moscarini (Dickerman Prize for the best senior essay in Economics), David Wang, Kenny Tung

Memberships

American Economic Association, American Finance Association, European Finance Association, Econometric Society, Macro Finance Society, Finance Theory Group

Personal Information

DOB: December 2, 1986. Citizenship: Spanish, U.S.

Updated: March 2026